

Simply speaking, you will be wasting a lot of funds. Therefore you will have tied up a lot of unnecessary expenses, and it might take some time to earn revenue. So now expenses are high but revenue is relatively low. In this process, you risk capital and losses and run the risk of running out of capital.

TOO MUCH CAPITAL LEADS TO

EXTRA EXPENSES WHICH EVENTUALLY LEADS TO BANKRUPTCY..



Your business, even though it is doing well in terms of business and value proposition, may suffer financially and even go bankrupt. You might even have to shut down because of the piled-up expenses. This is called "too much capital", which is also a problem. Not every business requires external capital.

Why you might not want to let go of your autonomy?

No one will ask or order you to do things. This is a misconception about investor pressure. The type of pressure you may expect is that, for example, you might have pressure to report approximately a 20% increase in revenue in the next month. So to succeed, you might need to enter into agreements that will not be profitable for your company. Or you might get involved in certain business activities that you might not have otherwise done. So with pressure:

- You will accept less profitable deals or business.
- You will have irrational expenses for revenue.



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